

There are three main credit bureaus: Equifax, Experian, and Trans-Union. Because some creditors report to only one of the bureaus, the information in your credit report may differ somewhat from one bureau to the other; experts recommend that you obtain a copy of your report from each of the three major credit bureaus once a year. You can also order a three-in-one report that includes the information from all three credit bureaus, but it may cost more than obtaining the individual reports.

To order your credit reports use the official site created by the three major credit-reporting companies: www.annualcreditreport.com. If you use a different site, it's likely that you won't get your credit reports for free. Many imposter sites claim to offer free reports and credit scores, but they will want a fee from you sooner or later.

If you find an error in your credit report, call or write to the credit bureau explaining the error in as much detail as possible using 100 words or less. Provide any documents that help prove your statements. Send everything certified mail, return receipt requested. If you don't get an answer within forty days or so, follow up with them.

How Do Lenders Use the Credit Report?

Lenders use the information in your credit report to evaluate your character, your debt capacity, and your collateral or capital. Their evaluation of your character is based on the stability of your employment and residency history.

To evaluate your debt capacity, lenders look at your living expenses, open credit limits, current debts, and other payments to get a sense of how much debt you can afford based on your spending habits, income, and credit burden. They're more likely to extend you credit that's secured by collateral or a down payment. For example, the car you purchase is the collateral for your car loan. If you default on the loan, the car can be repossessed, so there's less risk to the lender.

Increasingly, lenders have been making their lending decisions by using your credit score, which is a number indicating how likely you are to make payments on time and repay loans. The score is computer-generated and largely based on your use of credit in the past—how long you've used credit, how much you use, and how responsibly you've used it. All in all, they may look at your income, education, job stability, how often you've